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Primary Auction Note – December 2020

In December, Central Bank of Kenya re-opened two fixed bonds **FXD1/2012/15-(6.82 years)** and **FXD2/2019/15-(13.48 years)** in a bid to raise **40 Billion**. The coupon rates for the bonds are **11.000%** and **12.734%** respectively. The period of sale for the bonds runs from **30/11/2020** to **08/12/2020**. The bonds attract a withholding tax of **10%** each.

Investors' focus remains on the short end of the yield curve: In the current market environment where concerns over the spread of corona virus remains high, interest rate uncertainty prevail, and liquidity is elevated, investors are likely to focus on the shorter end of the yield curve.

We advise investors to bid within the range of **12.8%** to **13.05%** and **11.05%** to **11.40%** for the 13.5 year and 6.8 year respectively.

December 3, 2020

RECOMMENDATION:

6.8 Year FXD1/2012/15:

Bid 11.05% to 11.40%

15-Year FXD1/2019/15:

Bid 12.8% to 13.05%

Period of Sale: 30/11/2020 to 08/12/2020.

Sovereign Credit Rating:

Moody's: B2 (negative)
Fitch: B+ (negative)
S&P: B+ (negative)

CPI:
(2019=100):
110.91

November Inflation:
5.46%

Interbank rate (3rd December 2020): 3.93%

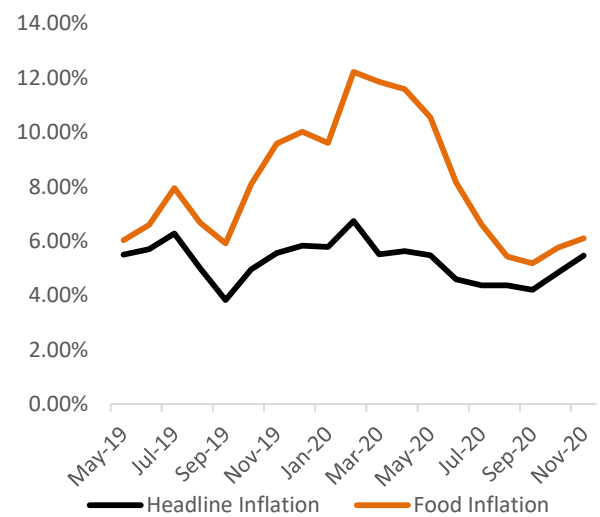
C.B.R (26th November 20):
7.00%

Analyst
Sarah Wanga
+0725965555
wangas@aibcapital.com

Secondary Bond Market:

In November, the secondary market activity decreased. Turnover in October, reversed downwards by 23% to KES 45.96Bn ($414.42Mn) from KES 59.32Bn ($ 542.97Mn) witnessed in October.

November Inflation:



In November, Headline Inflation increased to **5.46%** from **4.84%** in October. The CPI increased by **1.19** from **109.06** in October to **110.91** in November. This increase occurred on the back of a rise in prices of food which outweighed the decreases.

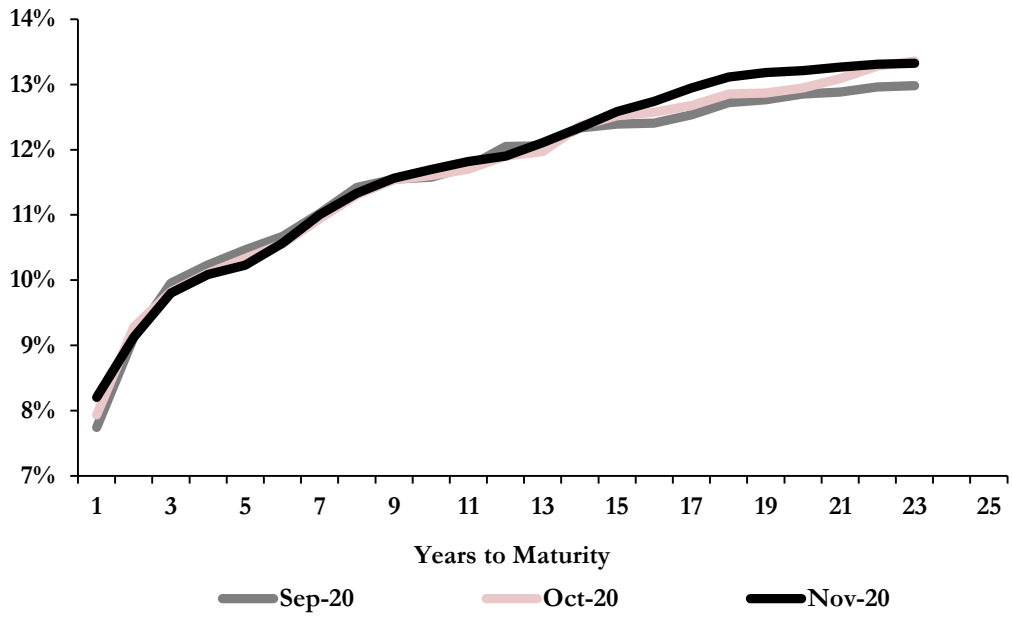
Headline inflation is likely to increase with the rise in food prices as food products carry a significant weighting in the inflation basket. Petrol prices have also been levelling up which could also lead to an increase in headline inflation.

Interbank

The money market remained relatively liquid during the month. The interbank steadily increased from 3.30% at 3rd November to 3.93% as of the 3rd of December.

Over the month, the CBK's Monetary Policy Committee (MPC) maintained the Central Bank Rate at 7.00% with the monetary authority noting that the rate is serving the purpose of cushioning Kenyans against the unprecedented fallout caused by the coronavirus outbreak.

NSE Yield Curve



In November, the yield curve steepened as interest rates on the long end of the yield curve increased. We expect the yield curve to continue to steepen as long-term rates are likely to increase.

Currency:

The Kenya Shilling (KES) depreciated against the greenback over the month of November as it lost **1.8%.** On the 30th of October, the KES closed at a value of **KES 108.8188/$** versus the **KES 110.0535/$** witnessed at the end of November. The depreciation of the Kenya shilling occurred even as the dollar weakened against global currencies. The KES depreciation will result in an increase in the cost of imports in which the burden is going to be carried by the consumers.

CBK's usable foreign exchange reserve decreased to **USD 7.95 million** from **USD 8.12 million** at the end of October, representing a decrease to **4.88 months** of import cover from **4.93 months** of import cover. The reserves are still sufficient as they remain above the CBK's statutory requirements of four months of import cover.

CONTACTS:

Research Desk

Sarah Wanga
Head of Research

Linda Kiraithe
Research Analyst

Email: research@aib-axysafrica.com

Equities Dealing

Bernard Kung'u

Benard Gichuru

Brian Tanui

Samuel Githinji

Sheema Shah

Samuel Wachira

Email: trading@aib-axysafrica.com

Bond Dealing

Crispus Otieno

Titus Marenye

Email: trading@aib-axysafrica.com

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